Banks and financial intermediation

National income can be consumed today or invested in projects that promise future returns. Investments in infrastructure, factories, technology and skills all drive growth and so investment is the lifeblood of economies. So banks – in the role of financial intermediaries connecting savers with investors – are an important artery for investment. People who don't consume all of their income today save it, depositing it in banks from where it is channelled to those who wish to use money to carry out investment projects.

Banks are able to pool savings from many people and then transform them into loans. By dealing with many savers and borrowers, they are able to manage risks. An important part of this involves balancing the interests of borrowers and savers: savers might want immediate access to their funds, while borrowers carrying out large investment projects require long-term loans. Poor management of the various risks can disrupt the mechanism of financial intermediation.